

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **The Fed's Powell** maintained his caution about interest-rate levels as the central bank continues to monitor the effects of Trump's tariffs on the economy. **A1**
- ◆ **The Bank of England** left its key interest rate unchanged, mirroring the Fed's decision a day earlier. **A16**
- ◆ **U.S. index futures fell** in markets otherwise closed for the Juneteenth holiday as conflict in the Middle East pushed global oil prices higher. **B10**
- ◆ **Microsoft plans** to lay off several thousand employees in the next few weeks, looking to thin its ranks while continuing its costly push into artificial intelligence. **B1**
- ◆ **Rio Tinto agreed to pay** \$138.75 million to resolve a lawsuit that alleged the company concealed problems during the expansion of a copper mine in Mongolia. **B3**
- ◆ **The EU approved** UniCredit's bid for Banco BPM with conditions, setting the stage for the deal to proceed after Italian officials tried to intervene on national-security grounds. **B3**
- ◆ **An investment arm** of Prudential will buy up to \$500 million of consumer loans from technology-backed consumer lender Affirm for a period of three years. **B4**
- ◆ **Vodafone appointed** Pilar Lopez, a Microsoft executive with a telecommunications background, as chief financial officer as the company seeks to rein in debt. **B4**
- ◆ **Candy and snacks maker Mars** missed a deadline to submit remedies to European Union antitrust officials for its nearly \$30 billion deal to take over Kellanova. **B3**

World-Wide

- ◆ **Militia groups allied** with Iran have mostly stayed out of its war with Israel, a restraint that is all but certain to be abandoned should the U.S. join its ally in bombing the Islamic Republic. **A1, A7-8**
- ◆ **A federal appeals court** allowed Trump to maintain command of the California National Guard in response to the Los Angeles protests, blocking a ruling that ordered him to return those forces to the state's control. **A1**
- ◆ **Progressive governors** who extended state-funded health-care to undocumented immigrants are being forced to roll back or freeze coverage because of budget woes and high enrollment. **A4**
- ◆ **The Supreme Court** cleared the way for states to restrict gender-transition treatments for minors, rejecting arguments that a Tennessee ban on certain therapies amounts to unconstitutional discrimination. **A3**
- ◆ **Social Security could** become unable to pay full retirement and disability benefits in 2034, a year earlier than previously reported, the program's trustees said. **A3**
- ◆ **SpaceX's Starship** rocket exploded during a routine test, the latest setback to Musk's Mars-shot ambitions. **A3**
- ◆ **Trump gave TikTok** another 90-day reprieve, deferring the enforcement of a 2024 law requiring the video app to be sold or shut down. **A3**
- ◆ **Investigators found reason** to question whether Air India Flight 171's engines were functioning properly at takeoff before the plane crashed. **A16**

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Juneteenth Crowds Commemorate End of Slavery



ANGELINA KATSAKIS/REUTERS

JOYOUS: People attend a Juneteenth concert in New York City's Times Square on Thursday. The holiday marks the day in 1865 when enslaved people in Galveston, Texas, learned they had been freed, two years after the Emancipation Proclamation.

Iran's Allied Militias Choose To Lie Low in Israel Conflict

A weakened 'Axis of Resistance' network is instead focusing on self-preservation

For decades, Iran's leaders built up a network of allied militias in the Middle East that shared a hatred of Israel and

By Sudarsan Raghavan, Summer Said and Saleh al-Batati

the U.S. to gain regional influence and protect the regime. But as the theocracy is now fighting for its own survival,

its allies are missing in action.

Lebanon's Hezbollah, once seen as the most powerful in Iran's Axis of Resistance, hasn't fired a single missile since Israel attacked Iran. Its military capabilities and leadership have been decimated by Israeli forces during the past year. Hamas, the Palestinian militant group, is a shadow of itself after 20 months of war with Israel that has seen its leaders killed and Gaza destroyed.

In Iraq, Iranian-backed Shiite militias haven't targeted U.S. military bases, as they have in the past. And Yemen's Houthi militia fired several missiles at Israel on Sunday

but have remained silent since.

The bruising wars have left Iran's allies wary of taking on Israel, which has shown superior military and intelligence capabilities. Some are focused on their own interests and have a lot to lose from a growing war, such as Iraq's militia members who are now making fortunes in the oil sector. Others, like Hezbollah, are trying to rebuild and nursing grievances over the lack of support from Tehran during the group's war with Israel, said Arab diplomats who speak to the group regularly.

"For all of these networks right now, it's about survival,"

said Renad Mansour, a senior fellow and Iraq Initiative project director at Chatham House, a London think tank. "They all understand the wrath of these types of military campaigns."

President Trump said in a statement Thursday he would make a decision about poten-

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- ◆ **MAGA brawls over prospect of U.S. strikes on Iran.....** A6
- ◆ **War costs Israel hundreds of millions a day.....** A7
- ◆ **Israelis shoot down missiles before they launch.....** A7
- ◆ **Elite force poised to seize power if regime falls.....** A8

Judges Support Trump on Troop Use In L.A.

Appeals court blocks earlier order finding that federalizing the Guard was illegal

By JESS BRAVIN AND BRENT KENDALL

A federal appeals court on Thursday night allowed President Trump to maintain command of the California National Guard in response to the Los Angeles protests, blocking a lower court that ordered him to return those forces to the state's control.

A three-judge panel of the Ninth U.S. Circuit Court of Appeals said that Trump's decision to federalize the Guard was entitled to a high degree of deference. And under that standard, "we conclude that it is likely that the President lawfully exercised his statutory authority," the panel wrote.

Earlier this month, after protests began in Los Angeles against immigration raids, Trump signed an order federalizing some 4,000 members of the Guard. Gov. Gavin Newsom, a Democrat, sued, arguing that the situation fell far short of invasion, rebellion or breakdown in civil order, the conditions set out under federal law for the president to deploy those forces.

Thursday's ruling blocked the effect of a decision last week in favor of California.

In that earlier ruling, U.S. District Judge Charles Breyer, a Bill Clinton appointee in San Francisco, concluded the situation in Los Angeles didn't justify federalizing the Guard. He ruled that Trump, a Republican, ignored a provision requiring that mobilization orders be sent "through the governor." He ordered control of the troops returned

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Hackers Turn Tech Support Into New Threat

By ROBERT MCMILLAN

Hackers in recent months have disrupted retail sales in the U.K. and U.S. and stolen hundreds of millions of dollars from crypto holders by targeting the outsourced call centers that many U.S. corporations use to save costs.

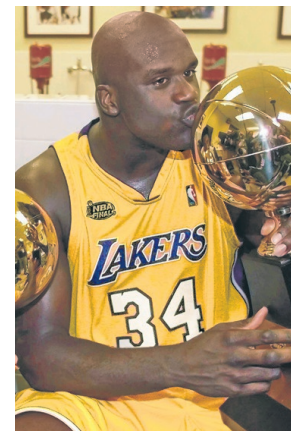
The hacks are often meticulously researched and use a variety of techniques, but they have one thing in common: low-level workers who staff call centers and have access to the kind of sensitive information that criminals need to commit crimes.

The focus on outside call centers has allowed attackers to trick workers to get around so-called two-factor account authentication techniques that send codes by text to mobile phones. Those methods are commonly used to protect millions of bank and credit-card accounts, as well as a host of other online portals.

In attacks on U.K. retailers including Marks & Spencer and Harrods, the hackers typically impersonated high-level corporate executives and pressured tech-support workers to give them access to corporate networks, according to security researchers. This is the same technique that allowed hackers to gain access to MGM Resorts systems in 2023.

At the cryptocurrency com-

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JASON GAY

Our columnist would pay \$11 billion for the Lakers—and not a penny more. **A12**



MANSSION

The secret to building a \$100 million megamansion—with amenities. **M1**

How People Decided It's OK To Wear AirPods at All Times

* * *

Earbuds have so infiltrated daily life that even doctors can't get your full attention

By LAUREN WEBER

Hi. Excuse me. Hey. Do I have your attention? I can't tell because your AirPods are in.

Human communication was awkward enough before AirPods and their non-Apple brethren became so ubiquitous, but at least some pockets of life seemed off-limits. Not anymore.

Dan Weisel, a family medicine doctor, has noticed more patients keeping their earbuds in even after he walks into the examination rooms at his practice in St. Louis.

"My initial reaction is, that's

never because it seems like you're not giving me your full attention," he said.

Then he wonders if the person might use them as hearing aids, or have a diagnosis like autism where earbuds help control sensory overload. Most of the time, Weisel has no idea if the devices are serving a legitimate purpose or simply delivering the latest episode of "Smartless."

Most confusing of all is never knowing whether the wireless earbuds are on or off. "It's the unknown that's sort of uncomfortable."

Some patients see it differ-

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Fed Waits for Dust To Settle on Tariffs Before Rate Shift

By NICK TIMIRAOOS

Federal Reserve Chair Jerome Powell projected confidence this week when he insisted the central bank was in a good position to handle whatever the economy does next—all while repeatedly acknowledging the Fed has little idea of what's actually coming.

The Fed is trying to see how the dust will settle from the aftereffects of President Trump's April 2 "Liberation Day" tariff announcements, among other

policy changes. Most economists expect tariffs to lift prices over the coming months, and that is a worry for the Fed because officials don't feel as if they vanquished inflation after a three-year-long fight.

"We haven't been through a situation like this, and I think we have to be humble about our ability to forecast it," Powell said on Wednesday.

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- ◆ **Bank of England holds rates steady.....** A16

Pope Leo Warns Of Risks of AI

Silicon Valley aims to reassure a wary Vatican about the technology

VATICAN CITY—Two days into his reign, the new American pope spoke softly to a hall full of red-capped cardinals

By Margherita Stancati, Drew Hinshaw, Keach Hagey and Emily Glazer

and invoked the digital-age challenge to human dignity he intended to address with the power of his 2,000-year-old office: artificial intelligence.

The princes of the Catholic Church listened intently as

Pope Leo XIV laid out his priorities for the first time, revealing that he had chosen his papal name because of the tech revolution. As he explained, his namesake Leo XIII stood up for the rights of factory workers during the Gilded Age, when industrial robber barons presided over rapid change and extreme inequality.

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- ◆ **Companies embrace AI faster than other tech... B4**
- ◆ **Heard on the Street: Amazon's AI message.. B10**